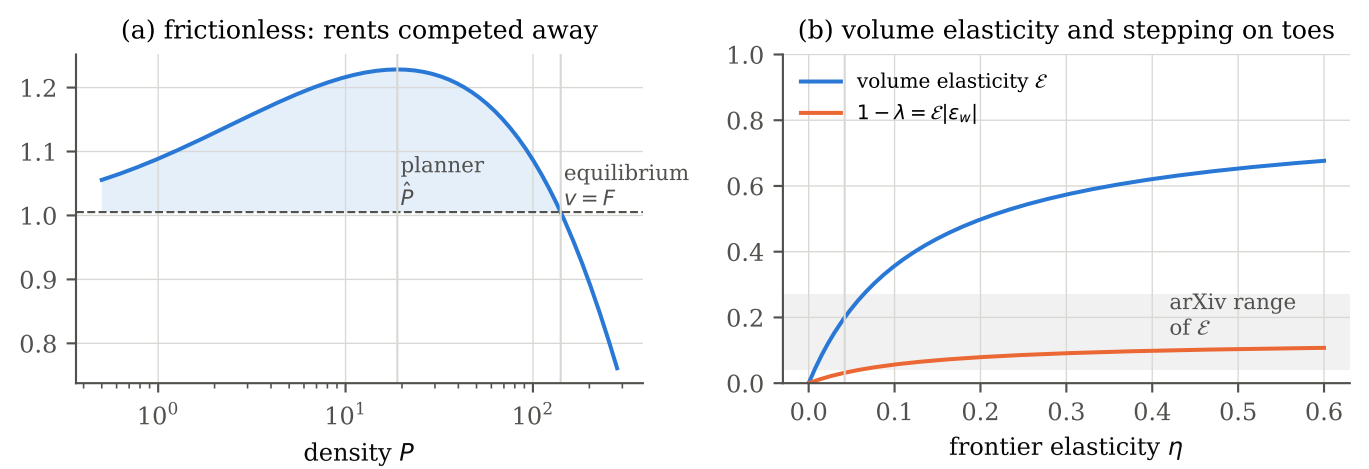
(a) frictionless: rents competed away
1.2
1.1
1.0
0.9
0.8
planner
$\hat{P}$
equilibrium
$v = F$
10^0
10^1
10^2
density P
(b) volume elasticity and stepping on toes
1.0
0.8
0.6
0.4
0.2
0.0
volume elasticity $\mathcal{E}$
$1 - \lambda = \mathcal{E}|\varepsilon_w|$
arXiv range
of $\mathcal{E}$
0.0
0.1
0.2
0.3
0.4
0.5
0.6
frontier elasticity η